

Marketing Musings

Volume 1
Marketing Management

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Chapter 1

Marketing Orientation

The market orientation concept subtends, based on some schools of thought, on the implementation of the marketing concept. It forms the substratum of an axiom that seeps down to the business culture of organizations and impact business performance. Kohli and Jaworski (1990) elucidate that such an approach may make the embracement of the concept more likely especially across departments within an organization. Hence, becoming market driven forms the nucleus of all business undertaking. Lafferty and Hult (2001) seek to delineate as well as synthesize the five perspectives borne out of multiple researches into a construct based on some similarities.

The Customer as King

The authors agree that focusing on customers' needs, wants, demands and responses to market stimuli is at the epicentre of the proposed framework. This comes through a fusion of the decision making perspective: (Shapiro, 1988) admonishing that understanding customers reflect a proclivity towards market orientation; with the market intelligence perspective focusing on the collation of information on customer preferences and need anticipation. This is buttressed by the culturally based behavioral and the strategic perspectives which respectively advocate that understanding customers is essential to product creation and the delivery of premium service value; and that an assessment of the customer as a variable of the external environment is needful. Needless to say, the customer orientation perspective embodies a primary focus on the customers as primary agents.

Information a Key resource

Secondly, this synthesized framework underscores the importance of information that is essential in driving business processes and decisions. The decision making perspective reinforces an emphasis on the permeation of information which is necessary for strategic and tactical decision making and which forms the precursor to the execution of coordinated, well crafted and informed decisions needed to satisfy the customers (Lafferty and Hult, 2001). Market research forms an instrumental activity in the market oriented organization. Narver and Slater (1990) culturally based behavioral perspective propounds that the acquisition of information aids in a better understanding of customers and the constraints that face them. An interpretation of collected information

allows the organization to disseminate resources to achieve customer value: strategic focus perspective. Also, gathering information on competitors furthers the market orientation concept through the inference that such competitive intelligence may enable companies to strategically craft initiatives to pre-empt customer actions in the market thereby increasing value to customers. Therefore, all this add to the customer-centric environment reflective of a market orientation stance taken by the company.

Coordination

The conceptual framework also focuses on inter-functional coordination which comes from a similarity between the various perspectives. This coordination ensures the delivery of customer value and guards against resource wastage. It may also place the organization in a better position to quickly grasp emerging and transient market opportunities thus resulting in better business performance. The decision making perspective highlights the interdivisional development of decisions (Lafferty and Hult, 2001) as well as their execution complemented by (Kohli and Jaworski, 1990) who corroborate that the shared concerted actions of divisions are needed in order to ensure organization wide responsiveness. The culturally based perspective extended in (Slater and Narver, 1992) underpins the importance of inter-functional coordination so much so that any organization member is able to provide value to customers. This is followed by “inter-functional coordination consistent with customer orientation” as posited by the customer oriented perspective (Lafferty and Hult, 2001: 99).

Taking Action

Shapiro (1988: 122) advocates the execution of decisions whilst (Kohli and Jaworski, 1990) explain the concept of responsiveness in developing products and undertaking market initiatives that will meet customer needs. The strategic focus perspective outlines the implementation of customer oriented strategy whilst the culturally based behavioral perspective highlights the importance of the effective utilization of company resources in order to meet customer need. For organizations to be customer focused, initiatives must be well crafted and carried out with the buyer at the apex of the decision making and execution processes within organizations.

Further Arguments

Lafferty and Hult (2001) illuminate that a managerial focus of the perspectives: decision making, market intelligence and strategic marketing focus seems to follow a more linear process than the cultural focus perspectives. The centrality of the market oriented activities may be more prominent in the managerial focus perspectives (Lafferty and Hult, 2001) whilst the creation of a business culture which is customer focus will augment the advancement of a market oriented organization. Thus, in making a distinction between the disparate classifications it can be concluded that one category (cultural focus) may advocate that the values of an organization underpin its subsequent business actions and market orientation; so a culture which is primarily focused on the consumer as the nucleus of all activities will tend to initiate mechanisms that ensure a heightened state of responsiveness and will engage in continuous business reengineering. Sinkula (1994) outlines the importance of values on the learning organization through his exposition on how responsive behaviors to change and growth affect organizational learning and the proclivity of organizations to engender a culture of learning through its norms. These form critical ingredients in the process of becoming market oriented.

Conclusion

This conceptual framework of marketing orientation presented by (Lafferty and Hult, 2001) puts the customer at the heart of business activities. It stresses inter-organizational coordination, dissemination of information, organic flow of knowledge garnered through, amongst other techniques, market and competitive intelligence and the execution of unified actions and strategies. Kotler and Keller (2012) highlight how Hewlett-Packard was successful in their adoption of this approach and the resultant increase in not only business performance but goodwill and brand recognition.

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Chapter 2

Analyzing the research undertaken by Graeff and Harmon on the collection and usage of personal data

Graeff, T. R., & Harmon, S. (2002) 'Collecting and using personal data: consumers' awareness and concerns', *Journal of Consumer Marketing*, 19 (4/5), pp. 302–318.

An assessment of the authors' findings has to be contextualized in the affluent geographic boundaries wherein the samples were pooled. Graeff and Harmon (2002) argue that customers are unaware just how their personal information is collected and used through loyalty cards, opining that ignorance as it relates to collection and use of personal information forms a great threat to the consumer. The need for privacy has therefore regained prominence in the minds of consumers given the constant invasion and monitoring that they face in every facet of their daily lives.

Consumer Attitudes

The use of smart checkouts, electronic tracking, internet web trafficking software and loyalty cards is advantageous for marketers as it relates to the collation and analysis of consumers' purchase behaviour. Notwithstanding, the authors argue that the nature of the purchase situation and the type of data being sought directly affects consumers' attitudes towards the data capturing process. Nam (2006) allude that more customers who purchase on-line are less confident in the security of websites that collect private information. With that said, younger on-line purchasers are more accustomed to being compensated for sharing personal information and thus may exhibit less apprehension in doing so (Graeff and Harmon, 2002). The authors also found that the majority of customers surveyed perceived discount/loyalty card as another marketing promotional tool in attracting customers and making the issuing retailer more competitive in the market. Therefore, this positive perception may give rise to fewer privacy concerns because of the dissociative nature of loyalty cards and the collection of personal information.

The research also highlights that younger consumers may be more aware of the data collection component of the loyalty card scheme than their older counterparts and may have less misgivings when purchasing (Graeff and Harmon, 2012: 309). This corroborates (Assael, 1998) research which concluded- younger consumers tend to be more generally aware of business activities and practices and have a greater proclivity in becoming directly involved in the assessment of an organization's marketing initiatives.

A tabular assessment of the research findings reveal that the use of credit cards via the internet had the lowest comfort level with only 6.7% of respondents strongly agreeing. The findings also suggest that on-line shoppers were more inclined to allow the sale of information regarding their purchase behaviour and be opposed to governmental regulation. However, this greater apathy in regards to privacy may be the substratum on which an elevated need to be informed rests. Miyazaki and Fernandez (2000) argue that consumers' proclivity to disclose personal information is predicated too on the perceived risk and also the retailer's practices. More traditional purchasers seem to be less inclined to share their information. Buyers may express greater concern for privacy when purchasing from the internet as opposed to stores.

Demographics and Internet Purchases

Graeff and Harmon (2002) accentuate the apprehensiveness of persons with internet access by concluding that less than half of respondents with internet access had ever purchased anything on-line. They posit that males exhibited fewer privacy concerns and were more comfortable than their female counterparts when making online purchases. In addition, wealthier consumers had a greater proclivity to purchase on-line but more readily demanded information on how their personal data will be used. They also had a higher probability of making future on-line purchases than persons with lower income levels. Not surprisingly, older customers were more apprehensive in purchasing via the web. This may stem from the fact that they may be more accustomed to brick and mortar enterprises and may generally exhibit higher states of cautiousness. So, customers with lower income levels may have more privacy concerns just like older consumers while younger and more affluent buyers may harbour such concerns but to a much lower degree. It could be logically inferred that the more customers engaged in internet purchasing the fewer the concerns regarding privacy that they may have. Savvy online purchasers may be more inclined in agreeing that customers' purchase habits could be sold. This may reflect a desire for them to accord manufacturers' greater access to this information so that more personalized products can be developed. Since consumers with higher income were more inclined to make purchases online and were slightly more likely to own a paper shredder it can be argued that this demographic sect has a greater need to control how private information about them is disseminated and

used. Whilst younger consumers were more probable to make internet purchases and were more predisposed to share personal information because of an increased awareness of the benefits that can later accrue to them from doing so.

Conclusion

Information is needed so that strategic plans can be crafted. However, there is great concern and trepidation in how organizations go about collecting and using this information. To offset this dissonance (Graeff and Harmon, 2002: 313) explicate the importance of positioning. They expound on how market research efforts ought to be clearly communicated and how tools which are used to amass information should clearly show how they provide value to the consumer. This is buttressed by (Malhotra and Birks, 2006) who explain that it is critical that consumers understand the benefits of market research in providing superior value to them. Apprehension is bred when there is no explicitly communicated relationship between data collection and the provision of benefits to the consumer. Despite this, there was no real causal relationship between privacy concerns and the consumer's inclination to purchase. So, for online shoppers, the greater concern may rest in the appropriation of information collected and so (Nowak and Phelps, 1995) argue that privacy rests more heavily on the appropriation rather than the collation of consumers' personal information.

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Chapter 3

Lifestyle as a Segmentation variable

Erasmus (2001) proffers that lifestyle may provide a justification in both delineating and comprehending an individual's proclivity to adopt certain behaviours which may reflect their consumption pattern. The changing dynamics and demographics of the consumer market for many products necessitate the incorporation of lifestyle as an important defining variable of segmentation. The authors' arguments in respect to tourism reflect the wide range of differentiated offerings that have been developed and the continuing trend among destinations both to adapt to the varying demands of tourists and to carve out prosperous niches.

Behavior and Lifestyle

Erasmus (2001) propounds that diversity in behaviour may be as a consequence of lifestyle. Therefore, Unger (1982) puts forward the idea that lifestyle in part can be adjudged through the activities people engage in and the types of products they are likely to consume and the manner in which income is apportioned. On another note, Gonzalez and Bello (2002) reasoned that there is a direct link between lifestyle and tourist behaviour. They sought to cluster individuals based on the lifestyle criterion in order to analyze the level of homogeneity of behaviour.

The Lifestyle Construct: the Authors' Thesis

A number of variables have been given to embody the criterion known as lifestyle. Among these are attitudes, interests, activities and opinions. The authors' thesis sought to assess the relationship between lifestyles and behaviour of consumers of both long-stay and short-stay tourism packages. However, it could be argued that the interest and opinions of those surveyed may not readily affect their activities or their ability to engage in particular consumption patterns given the mediating variable of income. That is to say, it can be surmised that money and income play a large role in the type of lifestyle consumers may have (Carneiro and Eusebio, 2011) and thus their ensuing 'consumeric' dispositions. Based on the authors' methodology, there was no clear delineation of this variable in impacting behavior. Notwithstanding, their conclusions held merit and were worthwhile in proving that lifestyle and all that embodies this concept can be used as a tool of segmentation much to the benefit of marketers and business leaders.

Gonzalez and Bello (2002) conclude through a series of multivariate techniques; reflected in the maximum canonical correlation values, that there exists a significant relationship between consumers' lifestyle and their consumption behaviour as it relates to tourism products. The positive test of their hypothesis reveals that the factors of interest, opinions and attitudes which go to make up the construct of lifestyle can be used as an explanatory tool in delineating tourism behaviour in terms of destination, accommodation, transport and motive. The construct lifestyle and its relationship between consumer behaviours showed a dependent relationship and the relationship proved significant with one of the two samples used suggesting high intensity. They also asserted that groups which displayed similar lifestyle attributes displayed similar consumption behaviour. However, it could be presented as a further critique of this construct that the authors' failure to test more clusters may have limited the factuality of their assertions across a multiplicity of lifestyle clusters. But the fact that three of four canonical correlations in cluster 5 were significantly different from zero suggests a direct relationship between lifestyle and long stay trips and thus may prove to be sufficient for generalizations to be made to other clusters.

The display of differentiated behaviour based on lifestyle and the subsequent use of lifestyle as a basis of segmentation have far reaching implications. Therefore, an appreciation of consumers' lifestyles can enhance the predictive efforts of product designers in respect of behaviour and will aid in the successful inculcation of various tactics and initiatives within the organization. Using lifestyle as a basis of segmentation can produced more effective marketing strategies.

Other innovations

The classification of tourists into five clusters as reflected by their lifestyle can be used as a foundation for the development of novel strategies. In using cluster analysis technique, Gonzalez and Bello (2002) were able to classify the participants of their study based on discriminant variables.

Home loving

This category may prefer cultural and sun and sea tourist packages and are disinclined to travelling without their family. Their loyalty can be capitalized upon by marketers with direct marketing initiatives better suited for this segment.

Idealistic

They are flexible and tolerant and prefer inland destinations and country villages. They are better suited for country side holiday package and advertisement slots may be best positioned in sports and/or music programmes.

Autonomous

This group may be considered more liberal than the preceding two and prefers city destinations with hotels as the preferred means of accommodation. However, for those with this type of lifestyle who prefer long trips, coastal areas are best. The authors advocate that in targeting persons within this segment, greatest premium should be placed on weekend and public holiday trips with multiple sites and locations in tourist packages.

Hedonistic

The interest of this segment lies in news and films. For short trips they prefer large cities and enjoy ostentatious hotel accommodations. For longer trips they may opt for journeys outside their country and even region. Catered tourist packages should include a wide range of choices and sales persons could be used to attract their attention.

Conservative

They tend to be pessimistic about society today but enjoy visits to beautiful places. They are not prone to liking nightlife or music and thus may prefer seaside rural resorts. They are image conscious however and may prefer the beach. They can be reached through mass media.

Conclusion

Lifestyle as a construct helps to mirror the behaviour of consumers specifically tourists and thus can assist business leaders in designing products that both fit their displayed lifestyle and meet their needs. The results presented in the research confirmed that a segmentation based on lifestyle is potent enough to indicate differentiated behaviour. Such classification can aid the marketer and be extrapolated to other cities and regions.

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Chapter 4

Brand Positioning

It is a widely held belief that effective brand management is the precursor to brand success. Hence how a brand is positioned and how it metaphorically comes alive in the minds of consumers is paramount.

Organizational mistakes

The level of notoriety that brands now enjoy is strengthened by the span of their pervasiveness which necessitates greater control. Berthon et al., (2003) posit that the ready availability of information over the internet exacerbates the problems of managing a brand. Through a multiplicity of blogs, on-line articles and virtual notice board (Temporal, 2010) informs us that Nike has quickly lost ground in how its brand is perceived internationally within certain sectors of the market. Continued allegations of child labour, poor working conditions and discrimination continue to plague the brand.

The first mistake organizations make is to believe that the sole purpose of branding is differentiation. This view constrains the initiatives that could be inculcated in the organization's portfolio of activities to make the meaning of the brand more holistic. Welter (1988) in his exposition about ***Umbrella Branding*** argues that whilst differentiation is one of the purposes of branding it forms just the substratum of what branding should really mean to companies. Thus in the face of hyper competition a broader view which encompasses the symbolization of the brand in terms of its relationship to stakeholders should be the preferred approach as proffered by (Berthon et al., 2003). On this premise the personification of the brand makes it very important in relaying its meaning and what it embodies. Toyota attempts this by adding personality to its brand to communicate safety, reliability and family.

Secondly, extension of the brand without much thought has also negatively affected some brands resulting in less than desirable outcomes. Bazeen et al., (2009) offer empirical evidence to show that in some cases the image of the brand suffers in tandem with the execution of extension strategies. For example, Jello suffered when it extended itself through its pudding pops product.

Theoretical Framework

Berthon, Holbrook, and Hulbert (2003), put forward the concept of brand space with degrees of abstraction and enactment being derivatives of this concept both having polar points and set along a continuum. It therefore means that the author attempts to both conceptualize and delineate that a brand has an intangible realm of ideas and feelings and that its relationship with customers can involve the concerted effort of those same customers in fashioning this feeling which transcends into an experience and ultimately adds meaning to the brand. The effective management of brands based on the theoretical framework calls for careful analysis of a multiplicity of factors. It is critical that companies carefully evaluate the level of enactment and abstraction. The decrease bandwidth of consumers necessitates a greater move towards higher abstraction in order to ensure brand survival in the face of increasing number of competitive players (Berthon et al., 2003).

Quadrant 1

A brand which identifies with the product it represents and places focus on the functions of the product rather than its meaning is susceptible to substitution (Berthon et al., 2003). Therefore in analyzing this, it can logically be inferred that the product has to depend on its features in order to remain competitive. Companies which find their brand in this quadrant will need to place great emphasis on innovation in order to continue to separate the brand and its products from competitive forces.

Quadrant 2

This may seem a preferred quadrant as the experiential aura of the brand mingles with its functionality with the marketer retaining a high degree of control, however finding that balance may be hard to achieve.

Quadrant 3

An abstract functional brand combines a focus on the usefulness of the product with a move towards establishing the brand separate from the product. It therefore necessitates the careful analysis of the organization's brand architecture.

Quadrant 4

Focusing on the meaning of the brand whilst keeping it independent of its product may provide the most substantial foundation for companies to diversify and add to its portfolio of products. Proceeding along the Abstraction continuum may be important in today's competitive environment whilst the need to extend the brand and diversify remains a worthwhile competitive platform. However Berthon et al., (2003) points out that this quadrant may have the greatest 'ownership' of the brand by consumers and thus the brand becomes susceptible to the will of the consumer with marketers having to take more cautious steps in how they innovate and reposition around the brand. It is at the Abstract-Enacted brand stage where the greatest need for consumer perception and Image research studies may be most needed in order to guard against wrong and costly decisions as highlighted by New Coke.

Brand architecture

The theoretical framework gives rise to an assessment of the brand architecture with the level of enactment in mind. A move towards creating a meaningful brand for consumers which embodies an idea or experience necessitates the creation of a brand architecture that is both organic enough for the marketer to retain some level of control but inclusive enough for consumers to play an integral role in constructing the experiential nature of the brand. Within this architecture the inextricable links that extensions have with the parent has to be weighted carefully.

Quadrant dynamism

The brand space and its theoretical underpinning are essential in managing the brand. A move to greater abstraction may aid companies in their diversification efforts. However the authors argue that the maintenance of brand heritage is important and corroborates with (Temporal, 2010) who points out that nostalgia is still a potent tool in creative marketing and the legacy which a brand has can sustain it in turbulent times and changing market demographics. In addition a move to build the corporate brand by metaphorically empowering it can aid in its extension. The points of the archetypal brand positions will also enable the crafting of strategies to achieve the desired position.

Conclusion

An understanding of brand space can give managers a better understanding of the intricacies involved in branding and help them in their extension efforts or provide direction on how to respond when faced with a crisis.

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Chapter 5

Mock Marketing Plan

Elite Intelligence Group

Marketing Plan for the CIRS 2000

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June 2013

1.0 Executive Summary

Despite a contractionary period in the world market Deloitte (2013) points to the fact that the global retail industry continues to rebound in growth with revenue rising by 5.1% to US\$4.271 trillion for the world's Top 250 retailers in fiscal year 2011. Marketers have been placing greater emphasis locally in refining loyalty programmes to more strategically improve the levels of repeat purchases in a highly competitive market. The introduction of this software and its predictive abilities can be used to augment not only the loyalty programmes of companies but also their purchasing and procurement processes, in-store promotions and other below the line marketing activities. This product is therefore needed in the retail industry to help business owners plan and execute varying strategies.

2.0 Situation Analysis

2.1 The Elite Intelligence Group has made an expert breakthrough software that is able to augment the strategic decision tools already utilized by retailers. However its issues on privacy is in no different from the tactic used by companies which offer their products online and keep recorded information on purchases in order to send customized communication to buyers. The ethics of keeping and securing the collated information therefore rests on the purchaser of this software and not on the company. The rapidity of market changes and increased competition continue to create profitability pressures for companies in the retail industry (Peter and Donnelley, 2012). Therefore finding and sustaining a competitive edge is critical to business continuity.

2.2 Market Summary

2.2.1 The Elite Intelligence Group has been operating in the b2b market for the past 15years and has always provided computing solutions for some of the largest retailers in America specifically New York, Chicago and Texas. It has a large database of retailer information which will be used to further segment the market in order to identify the primary segment for the newly developed

product *Customer Information for Retailers Software 2000 (CIRS 2000)*.

2.2.2 Target Market

2.2.2.1 The retail industry is a multi-billion dollar playing field with millions of consumers worldwide. The majority of the top 250 retailers worldwide are to be found in the developed world specifically United States, Britain and Japan. However because of cautious optimism it may be best to start with medium sized retail organizations. Therefore the primary target audience will thus be defined as Medium sized retail enterprises in the United States specializing in durable and non-durable goods with an average annual sale of over US\$100 million. Members in this grouping would primarily find it both economically and strategically viable to invest significantly in the acquisition of this software and thus should be the focal market for the introduction of this new software. The definition of this target group was taken from North American Industrial Classification System (Omar and Fraser, 2010). These retailers would be leading organizations within their business classification having dominant market positions. They should be in the growth or mature stages of their industry life cycle selling multiple products to consumers. Their motives for purchasing will be emotional as well as psychological and they will possess innovators and first responders' characteristics. Their purchasing function will be centralized so that Elite Intelligence Group missionary sales force will find it easier servicing the segment.

2.2.3 Buyer Profile

- Medium sized business in the retail food, fashion, entertainment and household industries.
- Primarily these firms should be keen on taking calculated risks as the software will require investment of time and money with a decentralized purchasing function.
- Medium retail enterprise in the United States primarily New York, Chicago and Texas which serves over 500,000 customers annually and who has a need of increasing sales and remaining competitive.

2.3 Market Needs

2.3.1 The company will provide the retail market with a decision making software tool which can be holistically employed through-out the company's operation from marketing to operations to procurement and budgeting. The software will not trump the retailer's own customized software that they may have in operation but is able to complement any in-house software that currently exists. It will be open to easy interpretation being distinct from other software currently in the market that requires additional computational procedures. It will generate ready to use graphs and tables which will make analysis more explicit.

2.4 Market Trends

2.4.1 Cutler (2013) argues that there is a sustained trend towards greater online shopping by consumers of retail products. This online trend is said to net \$226 billion and will rise to \$327billion by 2016. The in-store shopping experience is also changing with the emergence of virtual greeters and magic mirrors. It is therefore incumbent on firms to not only augment the shopping experience but to strategize in providing the products that consumers want when they want them. Phibbs (2013) suggests

that more retailers are engaging in 'stalking customers through big data' wherein information about customer preferences is being collected at every stage of the buying process. This necessitates more novel strategies in order to personalize offerings to customers that will not only enhance what they have just bought in-store but to suggest other products that will complement current purchases.

2.5 Market Growth

2.5.1 Post economic recession has seen the introduction of several government stimulus packages that have resulted in increased spending nationally. The retail industry has also benefited from increased spending and the number of customers served nationally has been increasing. More and more people are demanding products better suited to their needs and will support retail outlets which offer the products they need. In order to pre-empt this need it is critical that companies possess predictive abilities which can be used to buttress their loyalty programmes.

3.0 SWOT Analysis

The Elite Intelligence Group can build on the following strengths:

- Extensive market knowledge and experience
- Strong social capital network
- Strong marketing team
- Wide name and brand recognition
- Newness and unconventionality of the product

Weaknesses

The company will have to contend with the following weaknesses:

- Privacy issues concerning the new software

- Apprehension of Elite Intelligence Group's business executives
- Standardized nature of the software

Opportunities

- Continued growth in the retail industry
- Continued growth in the b2b marketing industry as new players enter the field
- Decreased cost of the software as demand increases

Threats

- Competition from new entrants
- Short lead time in competitor's capabilities
- Loss of proprietary information
- Economic slump leading to decreased purchasing or reduced investment in marketing and loyalty programs

4.0 Competitive Forces

4.1 The Elite Intelligence Group has first mover advantage in the development of this proprietary software. However the industry is characterized by short lead time in which the competition can mimic the company's offerings. There are other software in the market which function similarly to the CIRS 2000 but none with the predictive capabilities of 95% and so this will be leveraged as a Unique Selling Point. The multiplicity of loyalty packages and computing software tools and in-house developed computing programmes form a formidable competitive force.

5.0 Marketing Strategy

5.1 The marketing strategy will focus on the benefits that the CIRS 2000 can accord to retailers. Its differentiated selling point is that its reports can

further be analyzed to provide valuable information that can be used for other departments such as accounting, procurement and supply chain management. While the main data produced reflects a consumer's consumption pattern and the likelihood of future purchases the competitive platform on which this new software will subtend is in its holistic use and importance to not only marketing tactics but the crafting of corporate business strategy. It's 95% level of accuracy will be used as a unique selling point.

5.2 Marketing Objectives

- Increase awareness of the product through aggressive sales and advertising tactics
- Achieve steady increase in market penetration in the U.S
- Build and maintain positive relationship with business buyers of the software

5.3 Financial objectives

- Achieve a Return On Investment by 2% in the first two years of operation
- Increase sales by 10% each year for the next 3 years.
- Maintain a 7% of sales expenditure on marketing through-out the first two years of the product's introduction.

5.4 Positioning

5.4.1 The brand has been positioned as a superior offeror of high quality business computing software to the retail market. However previously it had only served a few large retailers. Moving into the medium retail segment which comprises many more buyers and competitors will allow it to leverage its industry experience by using the same high-end positioning that works

well in the large retailer segment. Its portfolio of products represent the company's commitment to quality and constant innovation with its latest being the CIRS2000. The vast management experience and the caliber of industry experts which it maintains as paid workers will augment the superiority of the brand through the provision of novel, breakthrough products; solidifying its industry leadership position. The positioning will highlight the product's unique selling point of 95% predictable accuracy.

5.5 Strategies

5.5.1 The company is not new to the retail industry however it is new in servicing medium sized retailers. Therefore as a precursor; the creation of awareness will be pivotal. The central theme will be to highlight the company's lengthy experience and its expertise in serving giant corporate clients as reflected in the high demand for its quality of the products over the years. The message that will be communicated is that the CIRS2000 is a product developed by the Elite Intelligence Group a company with over 20 years experience serving large retailers like WalMart, Walgreens and WinDixie. It will highlight the 95% accuracy of its predictive component not having been achieved by any other product on the market to date. The equity of the brand will be used to buttress the quality of the product developed and thus form the nucleus of the message during the introductory stage.

5.5.2 The company will utilize mass media, industry magazines and sales literature, virtual industry notice boards, sales team as well as its website to promote the product. Glossy magazine print dedicated to the product will be used as a part of the company's direct mailing strategy. Infomercials will be placed on virtual notice boards as well print advertizing in the National Retailers

Association monthly publications. Trade shows and IT fairs and exhibitions will also be used to buttress the firm's marketing strategy.

6.0 Marketing Programme

6.1 The product will be sold under a one year guarantee in order to entice customers to purchase. Its packaging will prominently feature our proprietary logo with strong solid colors to support its positioning on quality and efficacy.

6.2 Pricing

6.2.1 Market skimming pricing strategy will be used during the introductory phase of the product. Therefore the prices charged will be used as an indicator of quality and support the market position of the brand. Because there is no direct competition with the product and its breakthrough technology the CIRS2000 software package will be priced higher than the market price. This strategy will be underpinned by the company's relationship marketing tactics where in ongoing consultation and monitoring will be available to the buyer through our sales team. The aim is to amass the maximum current profit possible before the entrance of competitors. It will reflect the product quality leadership of the brand underpinned by perceived value pricing strategies. It is critical that pricing supports the company's positioning as well as reinforce its brand image. To support the market skimming strategy extended warranties and service contracts will be offered to first responders to not only support the relationship marketing strategy of the firm but also to act as an inducement in purchasing the product.

6.3 Distribution

6.3.1 The company will continue with its distributive method of direct to buyer. The technological nature of the product necessitates that the company engages in direct selling to the retailer. It will also support its relationship marketing tactic and to maintain cost by eliminating costly intermediaries which will ensure that the integrity of the brand is kept in check through the maintenance of control. However upon expansion over the next two to three years this distributive strategy will be reviewed and possibly augmented as demand increases and as competitors enter the market.

6.4 Marketing Communication

6.4.1 The synergistic effect of all media advertising will be supported by our central theme and the unique selling proposition. This will serve to differentiate and at the same time highlight the benefits of the product. A missionary sales force will be used as the type of business being undertaken subtends on B2B marketing tactics. Therefore the headquarters of the largest medium retail outlets within the greater New York, Chicago and Texas states will be identified and cold calls used as initial points of contact. Subsequent to that, state sales representatives will be responsible for pushing the product from the interest stage to the sales stage. The marketing strategy will be divided into three phases: attract and acquire prospects, nurture prospects and solidifying sale.

6.5 Attracting and Acquire prospects

6.5.1 This tactic will take the form of initial awareness creation strategies using mass media as well as e-media via Facebook, twitter and Youtube and also through industry catalogues and virtual notice boards.

6.6 Nurturing Prospects

6.6.1 This tactic will require the intervention of state marketing sales representatives to follow-up on cold calls made by the missionary sales force, to allay any lingering fears and re=demonstrate the product if necessary showing how it fits into the overall strategy of the firms. It will be buttressed by e-mail communication, follow-up thank you notes and newsletters.

6.7 Solidifying Sale

6.7.1 This is the third tier and will exist to primarily reinforce the preceding two tiers. This will be supported by continuing intense electronic and print media advertising, continued free consultations, RFP Guide sessions, needs assessment and even trials.

6.8 The company will advertise in resource publications as an initial starter of the marketing program such as Retail Week and America's Retailers Association. Blogging and social publishing will also be undertaken to highlight the new product and to build awareness through avenues and websites such as the National Retailing Federation. E-blasts and other e-messaging initiatives will be undertaken in virtual community notice boards made up of retailers in the durable and non-durable consumer goods industry. Product presentations will be made at retail sales conferences nationally with the NRF Annual convention and Expo in New York being the starting event. This would ensure a captive audience of marketers and business leaders from the major retail stores in the US Market. E-videos showcasing real user benefits will also be designed after the first year of launch.

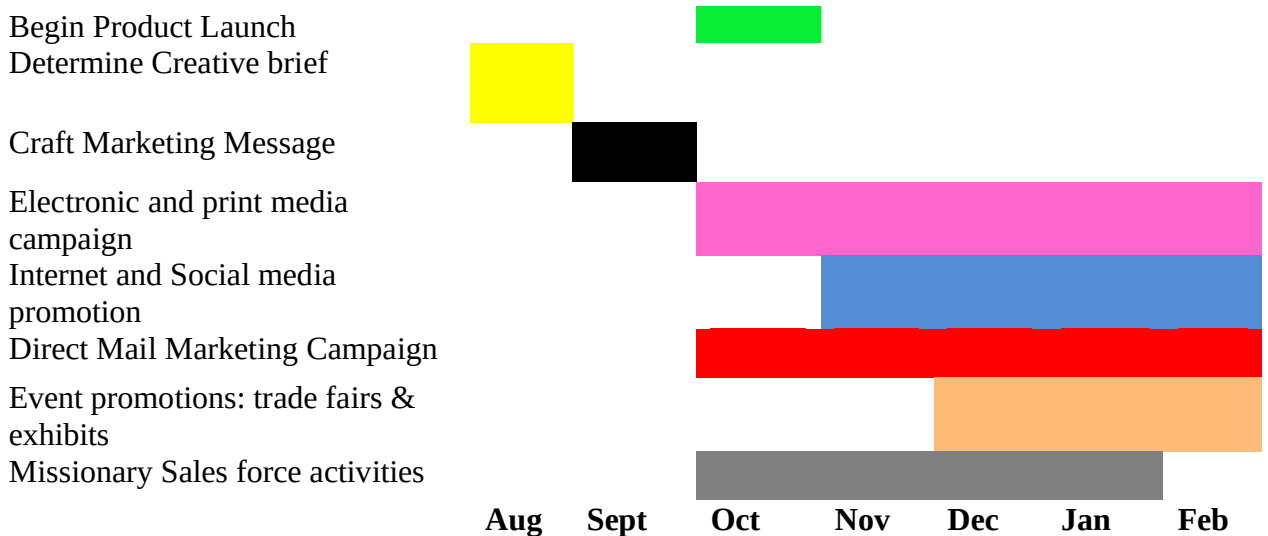
6.9 Social media outlets such as Facebook, Twitter and Youtube will showcase creative advertisement positioned to attract retailers by focusing on the functionality of the software. The company website will also be used as a primary tool of advertisement. Creative briefs will focus on the rational as well as the emotional aspects of purchase decisions in the business to

business buying process. Direct mail, e-mail campaigns, catalogs and events will all form the cocktail of marketing initiatives that will be used to reach the medium sized retailer. Reputable industry spokespersons will be identified for endorsement purposes.

7.0 Marketing Research

7.1 The research will focus on aspects of the product which may be viewed more positively in certain segments of the market and capitalize on those perceptions in order to design customized communication materials. Ongoing consumer studies in order to generate feedback will be undertaken and provide our software engineers with information on how to continue augment the product possibly leading to the development of other product extensions to meet other business needs.

8.0 Implementation Marketing Gantt chart



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